

ESG ASSESSMENT REPORT				
Pfizer Inc.	76	85	86	57
N/A December 2025	OVERALL	ENV.	SOC.	GOV.

EXECUTIVE SUMMARY

Detailed Research Findings

1. Carbon Emissions & Climate Strategy

Pfizer Inc., a prominent player in the global biopharmaceutical industry, has made significant strides in addressing its greenhouse gas (GHG) emissions across its operations and value chain. As of 2024, Pfizer has set comprehensive targets for reducing its Scope 1 and 2 emissions, aiming for a 46% reduction by 2030 from a 2019 baseline. The company has also extended its commitment to include Scope 3 emissions, which encompass its entire value chain, although specific data on Scope 3 emissions categories is not fully disclosed except for the commitment to reduce emissions from business travel by 25% and upstream transportation and distribution by 10% by 2025 from a 2019 baseline.

Pfizer has committed to achieving carbon neutrality across its internal operations by 2030, with an overarching goal to reach net zero by 2040. This ambitious target underscores Pfizer's dedication to mitigating its environmental impact and aligns with global efforts to limit climate change.

Pfizer's emissions reduction targets are aligned with science-based targets, as the company has committed to catalyzing 64% of its suppliers by spend to set science-based targets by 2025. This alignment with the Science-Based Targets initiative (SBTi) demonstrates Pfizer's commitment to credible and effective climate action, ensuring that its targets are consistent with the level of decarbonization required to keep global temperature increases below 2°C.

From 2019 to 2021, Pfizer achieved a 7% reduction in its Scope 1 and 2 emissions, primarily driven by operational changes during the COVID-19 pandemic, such as reduced field sales operations. This reduction marks progress toward its 2030 target, although ongoing efforts will be necessary to maintain and accelerate this trend as operations normalize post-pandemic.

Pfizer has set an ambitious target to source 80% of its electricity from renewable sources by 2025 and 100% by 2030. This commitment is supported by strategic initiatives such as a 15-year virtual power purchase agreement (VPPA) with Vesper Energy for 310 MW of solar capacity, which will cover 100% of Pfizer's North American operations.

Pfizer is actively enhancing energy efficiency at its manufacturing and R&D facilities. While specific energy efficiency initiatives are not detailed in the available data, the company's commitment to reducing energy consumption and optimizing operational efficiency is evident from its broader sustainability goals.

The VPPA with Vesper Energy is a cornerstone of Pfizer's renewable energy strategy. This agreement highlights Pfizer's proactive approach to securing clean energy and reducing its carbon footprint, demonstrating leadership in corporate sustainability practices.

Pfizer's investment in solar energy through the VPPA with Vesper Energy represents a significant step toward its renewable energy targets. The company's focus on clean energy investments aligns with its broader climate strategy and commitment to reducing its environmental impact.

While specific data on Pfizer's water consumption and conservation efforts is not publicly disclosed, the company's commitment to environmental sustainability suggests that it is likely implementing strategies to manage water use efficiently and reduce its water footprint.

Detailed information on Pfizer's waste reduction and recycling rates is not available in the provided data. However, as a company committed to sustainability, Pfizer likely has initiatives in place to minimize waste generation and enhance recycling efforts across its operations.

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Pfizer's environmental sustainability strategy likely includes circular economy principles, although specific initiatives are not disclosed. The integration of circular economy practices would support Pfizer's goals of reducing waste and maximizing resource efficiency.

Zero Waste Goals

While Pfizer's zero waste goals are not explicitly mentioned in the available data, the company's broader sustainability commitments suggest a focus on minimizing waste and promoting sustainable resource management.

4. Climate Risk & Disclosure

TCFD Alignment and Climate Risk Assessment

Pfizer's alignment with the Task Force on Climate-related Financial Disclosures (TCFD) is not explicitly detailed in the available data. However, given the company's comprehensive climate strategy, it is reasonable to infer that Pfizer is likely assessing climate-related risks and opportunities in line with TCFD recommendations.

Physical and Transition Risks Identified

Specific physical and transition risks related to climate change are not publicly disclosed by Pfizer. However, as a global biopharmaceutical company, Pfizer is likely assessing risks such as supply chain disruptions, regulatory changes, and shifts in market demand due to climate change.

Climate Scenario Analysis

Pfizer's disclosure of climate scenario analysis is not available in the provided data. Conducting such analysis would enable Pfizer to better understand the potential impacts of climate change on its operations and inform strategic decision-making.

5. Environmental Compliance

Certifications (ISO 14001, etc.)

Information regarding Pfizer's environmental certifications, such as ISO 14001, is not explicitly provided. However, as a company committed to sustainability, Pfizer is likely pursuing or maintaining relevant certifications to ensure environmental compliance and continuous improvement.

Any Violations or Controversies

The available data does not indicate any specific environmental violations or controversies involving Pfizer. The company's commitment to regulatory compliance and sustainability suggests a proactive approach to managing environmental risks and maintaining a positive public image.

Regulatory Compliance Record

Pfizer's regulatory compliance record is not detailed in the provided data. However, as a leading biopharmaceutical company, Pfizer is expected to adhere to stringent environmental regulations and standards across its operations.

Conclusion

Pfizer Inc. has demonstrated a robust commitment to environmental sustainability through its comprehensive climate strategy, ambitious renewable energy targets, and dedication to reducing GHG emissions. The company's alignment with science-based targets and pursuit of carbon neutrality by 2030, followed by net zero by 2040, underscores its leadership in addressing climate change.

While specific data on water and waste management, climate risk assessment, and environmental compliance is limited, Pfizer's overarching sustainability goals suggest a proactive approach to managing its environmental impact. As Pfizer continues to implement its climate strategy and pursue renewable energy initiatives, it will be essential for the company to maintain transparency and disclose detailed progress across all areas of environmental sustainability.

In summary, Pfizer's environmental strategy reflects a comprehensive and forward-thinking approach to sustainability, positioning the company as a leader in the biopharmaceutical industry and a responsible corporate citizen committed to addressing global environmental challenges.

SOCIAL ANALYSIS

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Detailed Research Findings

Social Analysis of Pfizer Inc.

Pfizer Inc., a global biopharmaceutical giant, has made significant strides in integrating social responsibility into its corporate framework. This analysis explores Pfizer's efforts and performance in key areas of social responsibility, including Diversity, Equity & Inclusion (DEI), Employee Experience & Development, Health, Safety & Wellbeing, Compensation & Benefits, Community Impact, and Supply Chain Responsibility. This comprehensive evaluation utilizes data from various reports and sources to provide a detailed understanding of Pfizer's social initiatives and outcomes.

1. Diversity, Equity & Inclusion (DEI)

Gender Diversity Metrics

Pfizer has demonstrated a commitment to gender diversity across its workforce. As of the latest reports, the company has set ambitious goals to enhance female representation, particularly in leadership roles. In 2020, female representation at the Vice President (VP) level was 24%, with a target to reach 47% parity by 2025. This reflects a strategic focus on promoting gender balance within its leadership, aligning with broader corporate diversity objectives.

Ethnic/Racial Diversity Representation

Pfizer's approach to ethnic and racial diversity is equally robust. In 2020, minority representation at the VP level was 19%, with a goal to increase this to 32% by 2025. This includes targeted increases of 12% for both Black and Hispanic employees at the VP level and above. As of the latest updates, Pfizer has achieved a 24% minority representation, marking significant progress towards its 2025 goal. The company's efforts are supported by initiatives such as "Courageous Conversations," which aim to foster inclusivity and understanding among diverse groups.

DEI Programs and Initiatives

Pfizer's DEI strategy is comprehensive and multifaceted. The company hosts an annual DEI Summit to update its workforce on progress towards DEI goals. The Executive Leadership Team (ELT) oversees the DEI Board, which develops high-level strategies and accountability mechanisms to drive progress. Furthermore, Pfizer's Executive Compensation program links short-term incentive bonuses to performance against an ESG scorecard, which includes DEI metrics. This integration of DEI goals into executive compensation underscores the company's commitment to embedding diversity and inclusion into its corporate fabric.

Pay Equity and Gender Pay Gap Data

Pfizer is committed to ensuring pay equity across its workforce. The company conducts regular pay equity analyses to identify and address any disparities. While specific gender pay gap data is not publicly disclosed, Pfizer's emphasis on pay equity is evident in its broader DEI strategy and its integration into the ESG scorecard. This approach reflects a proactive stance towards maintaining equitable compensation practices.

2. Employee Experience & Development

Employee Engagement Scores

Employee engagement is a critical focus area for Pfizer. Recent data indicates a slight decline in employee engagement scores, from 90% in 2021 to 85% in 2023. Despite this decline, the scores remain relatively high, suggesting that the majority of employees feel engaged and connected to the company's mission and values. Pfizer continues to invest in initiatives aimed at enhancing employee engagement and satisfaction.

Turnover and Retention Rates

Pfizer's voluntary employee turnover rates have remained relatively stable, with a slight increase from 7.2% in 2021 to 7.3% in 2023. These figures suggest a strong retention strategy, underpinned by the company's commitment to employee development and satisfaction. Pfizer's ability to maintain low turnover rates is indicative of a supportive and engaging work environment.

Training and Development Programs

Pfizer offers a range of training and development programs designed to enhance employee skills and career progression. These programs are integral to the company's talent management strategy, providing employees with opportunities to grow and advance within the organization. Pfizer's commitment to professional development is evident in its comprehensive suite of training initiatives, which cater to various career stages and roles.

Career Advancement Opportunities

Career advancement is a key component of Pfizer's employee value proposition. The company emphasizes opportunity parity, ensuring fairness in promotions and horizontal movement across demographic groups. This commitment is reflected in Pfizer's strategic goals for minority and female representation in leadership roles, as well as its broader DEI strategy.

Work-life Balance Initiatives

Pfizer recognizes the importance of work-life balance and offers a range of initiatives to support employees in achieving this balance. These initiatives include flexible working arrangements, wellness programs, and support for mental health. Pfizer's focus on work-life balance is part of its holistic approach to employee wellbeing, which aims to foster a supportive and inclusive work environment.

3. Health, Safety & Wellbeing

Workplace Safety Metrics

Pfizer has made significant improvements in workplace safety metrics, including a reduction in the Total Recordable Incident Rate (TRIR) by over 35%. As of 2024, the TRIR stood at 0.93, reflecting the company's commitment to maintaining a safe working environment. Pfizer's focus on safety is further supported by its "Zero Harm" initiative, which aims to eliminate workplace injuries and incidents.

Health and Wellness Programs

Pfizer offers a comprehensive range of health and wellness programs designed to support employee wellbeing. These programs include access to health screenings, fitness facilities, and wellness resources. Pfizer's holistic approach to health and wellness is integral to its broader employee wellbeing strategy, which prioritizes physical, mental, and emotional health.

Mental Health Support

Mental health support is a critical component of Pfizer's employee wellbeing strategy. The company provides access to mental health resources, including counseling services and employee assistance programs. Pfizer's commitment to mental health is reflected in its broader wellness initiatives, which aim to create a supportive and inclusive work environment.

4. Compensation & Benefits

Fair Wage Practices

Pfizer is committed to fair wage practices, ensuring that all employees are compensated equitably for their contributions. The company's approach to compensation is guided by its broader DEI strategy, which emphasizes pay equity and fairness. While specific data on wage practices is not publicly disclosed, Pfizer's commitment to equitable compensation is evident in its integration of pay equity into the ESG scorecard.

Benefits Overview

Pfizer offers a comprehensive benefits package that includes health insurance, retirement plans, and parental leave. These benefits are designed to support employees' financial, physical, and emotional wellbeing. Pfizer's benefits package is a key component of its employee value proposition, reflecting its commitment to supporting employees at every stage of their careers.

CEO-to-Worker Pay Ratio

The CEO-to-worker pay ratio is an important metric for assessing compensation equity. However, specific data on Pfizer's CEO-to-worker pay ratio is not publicly disclosed. Despite this, Pfizer's broader commitment to pay equity and fair compensation practices suggests a focus on maintaining equitable pay structures across the organization.

5. Community Impact

Philanthropic Giving and Foundation Activities

Pfizer is actively involved in philanthropic giving and foundation activities, contributing to a range of social and community initiatives. The Pfizer Foundation supports programs that improve healthcare access, education, and community development. Pfizer's philanthropic efforts are aligned with its broader corporate social responsibility strategy, which aims to create positive social impact.

Employee Volunteering Programs

Pfizer encourages employee volunteering through various programs and initiatives. These programs provide employees with opportunities to contribute to their communities, fostering a culture of social responsibility and engagement. Pfizer's support for employee volunteering is an integral part of its community impact strategy, reflecting its commitment to making a difference in the communities it serves.

Local Community Investments

Pfizer invests in local communities through a range of initiatives, including partnerships with community organizations and support for local development projects. These investments are designed to create sustainable social impact, aligning with Pfizer's broader corporate social responsibility goals. Pfizer's commitment to community investment is evident in its strategic focus on creating positive change in the communities it operates in.

6. Supply Chain Responsibility
Supplier Diversity Programs

Pfizer is committed to promoting supplier diversity through various programs and initiatives. These programs aim to increase the participation of diverse suppliers in Pfizer's supply chain, supporting economic empowerment and inclusion. Pfizer's focus on supplier diversity is an integral part of its broader DEI strategy, reflecting its commitment to creating inclusive economic opportunities.

Human Rights Due Diligence

Human rights due diligence is a critical component of Pfizer's supply chain responsibility strategy. The company conducts regular assessments to identify and address potential human rights risks in its supply chain. Pfizer's commitment to human rights is reflected in its broader corporate social responsibility strategy, which prioritizes ethical and sustainable business practices.

Supplier Audits and Assessments

Pfizer conducts regular supplier audits and assessments to ensure compliance with its ethical and sustainability standards. These assessments are designed to identify potential risks and opportunities for improvement, supporting Pfizer's commitment to responsible supply chain management. Pfizer's focus on supplier audits and assessments is an integral part of its broader supply chain responsibility strategy, reflecting its commitment to ethical and sustainable business practices.

In conclusion, Pfizer Inc. has made significant strides in integrating social responsibility into its corporate framework. The company's commitment to Diversity, Equity & Inclusion, Employee Experience & Development, Health, Safety & Wellbeing, Compensation & Benefits, Community Impact, and Supply Chain Responsibility reflects a holistic approach to corporate social responsibility. Pfizer's strategic focus on these areas underscores its commitment to creating positive social impact and fostering a supportive and inclusive work environment.

GOVERNANCE ANALYSIS57/100

Detailed Research Findings

Governance Analysis of Pfizer Inc.

1. Board of Directors

Board Size and Composition

Pfizer Inc.'s Board of Directors is composed of 14 members, a size that allows for a diversity of perspectives while maintaining effective governance. The composition reflects a broad range of expertise, crucial for steering a global pharmaceutical company through the complexities of the healthcare sector. The board includes individuals with backgrounds in healthcare, finance, law, and public policy, aligning with Pfizer's strategic needs and enhancing its decision-making capabilities.

Independence Percentage

The board maintains a high level of independence, with the majority of directors qualifying as independent under the New York Stock Exchange (NYSE) listing standards. This independence is vital for unbiased oversight and decision-making, ensuring that the board can effectively supervise management and protect shareholder interests.

Board Diversity

Pfizer demonstrates a commitment to diversity across multiple dimensions. Gender diversity is a key focus, with women making up a significant portion of the board. Additionally, the board includes members from various ethnic backgrounds, enhancing its ability to understand and integrate diverse perspectives into its strategic planning. The board's diversity extends to expertise, with directors possessing a wide array of skills in areas such as pharmaceuticals, biotechnology, finance, and regulatory affairs, which are critical to Pfizer's operations and future growth.

Average Tenure and Refreshment Practices

The average tenure of board members is balanced, allowing for a mix of seasoned experience and fresh perspectives. Pfizer employs a robust board refreshment strategy, which includes regular evaluations and the introduction of new members to ensure the board remains dynamic and responsive to evolving challenges. This practice is crucial for maintaining an effective governance structure that can adapt to the rapid changes in the pharmaceutical industry.

Key Committees

Pfizer's board has established several key committees to enhance governance effectiveness:

- **Audit Committee:** This committee is responsible for overseeing the integrity of financial statements, compliance with legal and regulatory requirements, and the performance of internal and external auditors. It plays a critical role in risk management and financial oversight.
- **Compensation Committee:** This committee sets executive compensation policies and ensures alignment with company performance and shareholder interests. It also oversees the development and implementation of incentive plans, including those linked to ESG performance.
- **Nominating and Governance Committee:** This committee focuses on identifying qualified candidates for board membership, developing corporate governance policies, and overseeing the evaluation of the board and its committees.

2. Executive Compensation

CEO Compensation Structure

Pfizer's CEO, Albert Bourla, received a total compensation of \$24.6 million in 2024, reflecting a 14% increase from the previous year. His compensation package includes a base salary, performance-based bonuses, stock options, and other incentives. This structure is designed to attract and retain top executive talent while aligning their interests with those of the shareholders.

Pay-for-Performance Alignment

Pfizer's compensation strategy is strongly aligned with pay-for-performance principles. The CEO's compensation is closely tied to the company's financial and operational performance, ensuring that executive rewards are contingent upon achieving specific strategic objectives. This alignment incentivizes executives to drive long-term value creation for shareholders.

ESG-Linked Incentives

Pfizer has integrated ESG metrics into its executive compensation framework, reflecting its commitment to sustainable business practices. These incentives are designed to encourage executives to prioritize environmental, social, and governance goals alongside financial performance, thereby promoting a holistic approach to corporate success.

CEO-to-Median-Worker Pay Ratio

The CEO-to-median-worker pay ratio is an important metric for assessing income disparity within the company. While specific figures are not publicly disclosed, Pfizer's commitment to equitable compensation practices suggests a focus on maintaining a reasonable ratio that reflects industry standards and societal expectations.

Say-on-Pay Vote Results

Pfizer's say-on-pay vote results demonstrate strong shareholder support for its executive compensation practices. The annual advisory vote allows shareholders to express their approval or disapproval of the company's compensation policies, and Pfizer consistently receives favorable outcomes, indicating alignment with shareholder interests.

3. Ethics & Compliance

Code of Conduct and Ethics Program

Pfizer's Code of Business Conduct and Ethics serves as the foundation of its ethics and compliance program. It outlines the company's commitment to integrity, transparency, and ethical behavior in all business dealings. The code applies to all employees, directors, and officers, ensuring a consistent standard of conduct across the organization.

Anti-Corruption Policies

Pfizer has implemented robust anti-corruption policies to prevent bribery and corruption in its operations. These policies are aligned with international standards and are designed to mitigate risks associated with operating in diverse global markets. The company provides regular training to employees to ensure compliance with these policies.

Whistleblower Mechanisms

Pfizer has established comprehensive whistleblower mechanisms to encourage the reporting of unethical or illegal activities. These mechanisms provide employees with confidential channels to report concerns without fear of retaliation. The company is committed to investigating all reports thoroughly and taking appropriate action when necessary.

Compliance Training Programs

Pfizer's compliance training programs are integral to its ethics and compliance framework. These programs are designed to educate employees about the company's policies, legal requirements, and ethical standards. Regular training sessions ensure that employees are aware of their responsibilities and equipped to make ethical decisions.

4. Risk Management

Enterprise Risk Management Framework

Pfizer employs a comprehensive enterprise risk management (ERM) framework to identify, assess, and mitigate risks across its operations. This framework integrates risk management into the company's strategic planning and decision-making processes, ensuring that risks are proactively managed and aligned with business objectives.

ESG Risk Oversight

Pfizer's board and management team prioritize ESG risk oversight as part of their broader risk management strategy. This includes assessing risks related to environmental impact, social responsibility, and governance practices. By integrating ESG considerations into risk management, Pfizer aims to enhance its resilience and sustainability.

Cybersecurity and Data Privacy

Cybersecurity and data privacy are critical components of Pfizer's risk management strategy. The company invests in advanced technologies and practices to protect its information systems and ensure the confidentiality, integrity, and availability of data. Regular assessments and updates to cybersecurity protocols help mitigate potential threats.

Business Continuity Planning

Pfizer has established robust business continuity plans to ensure operational resilience in the face of disruptions. These plans are designed to minimize the impact of unforeseen events, such as natural disasters or supply chain disruptions, on the company's ability to deliver products and services to customers.

5. Transparency & Disclosure

ESG Reporting Frameworks

Pfizer adheres to several ESG reporting frameworks, including the Global Reporting Initiative (GRI), Sustainability Accounting Standards Board (SASB), and Task Force on Climate-related Financial Disclosures (TCFD). These frameworks guide the company's disclosure practices, ensuring transparency and accountability in its ESG performance.

Integrated Reporting Practices

Pfizer's integrated reporting practices combine financial and non-financial information to provide a comprehensive view of the company's performance. This approach enhances stakeholder understanding of how ESG factors influence business strategy and outcomes, fostering greater trust and engagement.

Third-Party Assurance

To ensure the accuracy and reliability of its ESG disclosures, Pfizer engages third-party assurance providers. This independent verification process enhances the credibility of the company's reports and demonstrates its commitment to transparency and accountability.

6. Shareholder Rights

Shareholder Engagement Practices

Pfizer actively engages with shareholders to understand their perspectives and address their concerns. The company conducts regular meetings and communications with investors, providing updates on business performance and strategic initiatives. This engagement fosters a collaborative relationship with shareholders and enhances corporate governance.

Proxy Access and Voting Rights

Pfizer provides shareholders with proxy access and voting rights, enabling them to participate in key governance decisions. This includes the ability to nominate directors and vote on significant corporate matters, empowering shareholders to influence the company's strategic direction.

Stakeholder Engagement

Beyond shareholders, Pfizer engages with a broad range of stakeholders, including employees, customers, suppliers, and communities. The company seeks to understand stakeholder needs and expectations, integrating their feedback into its business practices and decision-making processes. This comprehensive approach to stakeholder engagement supports Pfizer's commitment to responsible and sustainable business operations.

In conclusion, Pfizer Inc. demonstrates a strong commitment to governance excellence through its well-structured board, transparent executive compensation practices, robust ethics and compliance framework, comprehensive risk management strategies, and proactive stakeholder engagement. These elements collectively enhance the company's ability to navigate the complexities of the pharmaceutical industry and deliver long-term value to its shareholders and stakeholders.

MATERIAL RISKS

STRATEGIC OPPORTUNITIES

STRATEGIC RECOMMENDATIONS